Registration number 5102915

Bradford City Football Club Limited

Financial statements

for the year ended 30 June 2023



Bradford City Football Club Limited

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Bradford City Football Club Limited

Directors and other information

Directors	S A Rupp (Chairman) A K Biggin FCA
Secretary	A K Biggin FCA
Company number	5102915
Registered office	University of Bradford Stadium Valley Parade Bradford BD8 7DY
Business address	University of Bradford Stadium Valley Parade Bradford BD8 7DY
Bankers	Barclays Bank PLC Leicester LE87 2BB

Bradford City Football Club Limited

Directors Report

The directors present their report and the unaudited financial statements of the company for the year ended 30 June 2023.

Directors
The directors who served the company during the year were as follows:

Stefan Albert Rupp
Alan Keith Biggin FCA

Small company provisions
This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

Review of the Business

It has been the club's policy to provide a more detailed analysis of the trading position and financial statements within a separate Strategic Report. This report is not part of the filing requirements for the club and will be produced in conjunction with these statements by experienced Chartered Accountant Alan K Biggin FCA, Club Director.

RESULTS

The club statement of comprehensive income is set out on page 5.

The significant figures here are as follows;

(a) Gross profitability has increased from £1,112,917 in 2022 to £1,482,979 in 2023. This is analysed over the relevant income streams.

	2023	2022
	£	£
Football Income (Less stadium costs)	(449,845)	(72,504)
Shop Franchise Income	218,026	174,323
Bar Sales and Catering	270,443	146,092
Commercial Sales Income	898,951	507,110
Youth Income	559,151	379,814
Donations/Lottery	(13,747)	(21,918)
Total Gross Profit before overheads	1,482,979	1,112,917

(b) Net transfer income of £821,244 has been generated in this current year and is included in football and youth income.

(c) Net loss of £299,484 in 2022 has been augmented by a further loss in the current year of £373,840.

(d) Net liabilities have increased from an adverse deficiency in 2022 of (£1,112,799) to an adverse deficiency of (£1,486,639) in 2023.

(e) Other creditors have increased from £2,753,795 to £3,341,361 largely as a result of Income received for season ticket sales and commercial activities which refers to the 2023/2024 season and is correctly deferred.

(f) Average attendances have been at a level of 17,862 over the season and could be considered very satisfactory.

PRINCIPLE RISKS AND UNCERTAINTIES

As with all businesses there are risks and uncertainties but with football there are unique considerations of the *sometimes* conflicting interests of owners, supporters and players. All these can be handled successfully to the benefit of all parties but it does require a careful and considered strategy.

Where appropriate there are processes in place to monitor and mitigate, covering such areas as, competitive tendering, marketing and key personnel retention.

These are to provide assurance to the Board of Directors, in managing risk whilst achieving the business objective. No system is without risk and occasionally it is unavoidable but it must be evaluated.

It is perceived that the key risks are as briefly outlined here:

1. On Pitch performance

Obviously, the better the club performs and the more successful it becomes, the nature of the risk changes. Promotion will incur significant extra costs and additional key personnel but subject to management controls, the extra income will/should more than compensate. Conversely should the club be relegated to the National League costs would increase, disproportionately to income and that risk would also require managing. These are "core" risks.

2. Financial Stability

As explained in previous financial statements the club has a policy of operating with budget (base) deficits which assume automatic elimination from all cup competitions and therefore no income is reserved for, no player disinvestment considered and attendances are based on historic commercial performances (subject to review). This basis then produces conservative outflows to provide management decisions governing issues such as player acquisitions, costs and transfer fees. It is generally accepted that actual figures tend to outperform base budgets. Surpluses are reinvested within the club.

3. Safeguarding and Health and Safety

The club operates, as would be expected, a strong Safeguarding and Health and Safety Programme and has key employees dedicated to full time roles in these areas. All issues raised are reviewed monthly, along with monitoring controls governing these notifications. All directors and key personnel have completed mandatory safeguarding training demanded by EFL. It is the club's all encompassing philosophy that the University of Bradford Stadium environment is safe, open and welcoming for all supporters and visitors to the ground.

4. Salary Management Cost Protocol (SMCP)

Under English Football League rules the club is bound by the formalities of this covenant to organise its affairs in a financially sound and professional manner to ensure that management controls are effective. For league two teams this requires, clubs to control their player wages and salary costs at a pre-determined level in relation to turnover (as defined). This is currently at a level of 55% and 100% of "Football Fortune" income which includes equity injections (as defined) and as a club we comply with this determination as part of our overarching policy of good prudent management. This level is also subjected to strict rules and guidance and in this respect supplemented by monitoring by the EFL Independent Club Financial Reporting Unit.

5. Going Concern

The directors consider the club to be able to continue as a going concern along with the acknowledged commitment of all relevant parties and conclude that these accounts reflect the going concern basis in the financial statements.

The club is subject to the normal constraints and difficulties all businesses encounter and the financial position reflects that challenge. Without the considerable help of all directors and staff throughout the organisation the problems would become more difficult to address and deal with satisfactorily.

This report was approved by the board of directors on 23 March 2024 and signed on behalf of the board by:

FCA

A K Biggin FCA
Director & Secretary

Bradford City Football Club Limited

Statement of comprehensive income
Year ended 30 June 2023

	Note	2023 £	2022 £
Turnover		8,543,419	7,096,690
Cost of sales		(7,060,440)	(5,983,773)
Gross profit		1,482,979	1,112,917
Stadium costs		(499,282)	(410,203)
Administrative expenses		(1,503,184)	(1,174,217)
Other operating income		151,962	172,019
Operating (loss)		(367,525)	(299,484)
Interest payable and similar expenses		(6,315)	-
(Loss) before taxation	4	(373,840)	(299,484)
Tax on profit/(loss)		-	-
(Loss) for the financial year		(373,840)	(299,484)

All the activities of the company are from continuing operations.

Bradford City Football Club Limited

Statement of financial position
30 June 2023

	Note	2023 £	£	2022 £	£
Fixed assets					
Intangible assets	5	234,267		177,567	
Tangible assets	6	1,491,510		1,395,091	
Investments	7	100		100	
			1,725,877		1,572,758
Current assets					
Stocks		2,828		8,518	
Debtors	8	3,007,077		2,626,133	
Cash at bank and in hand		313,023		369,512	
		3,322,928		3,004,163	
Creditors: amounts falling due within one year	9	(4,825,444)		(3,989,720)	
Net current liabilities			(1,502,516)		(985,557)
Total assets less current liabilities			223,361		587,201
Creditors: amounts falling due after one year	10	(1,710,000)		(1,700,000)	
			(1,710,000)		(1,700,000)
Net (liabilities)/assets			(1,486,639)		(1,112,799)
Capital and reserves					
Called up share capital			3,000,003		3,000,003
Profit and loss account			(4,486,642)		(4,112,802)
Shareholders (deficit)/funds			(1,486,639)		(1,112,799)

For the year ending 30 June 2023 the company was entitled to exemption from audit under section 477 of the Companies Act 2006 relating to small companies.

Directors responsibilities:

- The members have not required the company to obtain an audit of its financial statements for the year in question in accordance with section 476;
- The directors acknowledge their responsibilities for complying with the requirements of the Act with respect to accounting records and the preparation of financial statements.

Statement of financial position (continued)
30 June 2023

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime and in accordance with Section 1A of FRS 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'.

These financial statements were approved by the board of directors and authorised for issue on 23rd March 2024 and are signed on behalf of the board by:

A K Biggin FCA
Director

Company registration number: 5102915

Bradford City Football Club Limited

Statement of changes in equity
Year ended 30 June 2023

	Called up share capital	Profit and loss account	Total
	£	£	£
1 July 2021	3,000,003	(3,813,318)	(813,315)
(Loss) for the year		(299,484)	(299,484)
Total comprehensive deficit for the year	-	(299,484)	(299,484)
At 30 June 2022 and 1 July 2022	3,000,003	(4,112,802)	(1,112,799)
(Loss) for the year		(373,840)	(373,840)
Total comprehensive deficit for the year	-	(373,840)	(373,840)
At 30 June 2023 and 1 July 2023	3,000,003	(4,486,642)	(1,486,639)

1. General information

The company is a private company limited by shares, registered in England and Wales. The address of the registered office is University of Bradford Stadium, Valley Parade, Bradford, BD8 7DY.

2. Statement of compliance

These financial statements have been prepared in compliance with the provisions of FRS 102, Section 1A, 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. The Triennial review 2017 amendments to the standard have been early adopted.

3. Accounting policies

Basis of preparation

The financial statements have been prepared on the historical cost basis, as modified by the revaluation of certain financial assets and liabilities measured at fair value through profit or loss.
The financial statements are prepared in sterling, which is the functional currency of the entity.

Turnover

Turnover is measured at the fair value of the consideration received or receivable for goods supplied and services rendered, net of discounts and Value Added Tax.
Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have transferred to the buyer (usually on despatch of the goods); the amount of revenue can be measured reliably; it is probable that the associated economic benefits will flow to the entity; and the costs incurred or to be incurred in respect of the transactions can be measured reliably.

Taxation

The taxation expense when applicable represents the aggregate amount of current and deferred tax recognised in the reporting period. Tax is recognised in the statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in capital and reserves. In this case, tax is recognised in other comprehensive income or directly in capital and reserves, respectively.
Current tax is recognised on taxable profit for the current and past periods. Current tax is measured at the amounts of tax expected to pay or recover using the tax rates and laws that have been enacted or substantively enacted at the reporting date.
Deferred tax is recognised in respect of all timing differences at the reporting date. Unrelieved tax losses and other deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Deferred tax is measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date that are expected to apply to the reversal of the timing difference.

Operating leases

Lease payments are recognised as an expense over the lease term on a straight-line basis. The aggregate benefit of lease incentives is recognised as a reduction to expense over the lease term, on a straight-line basis.

Goodwill

Goodwill arises on business acquisitions and represents the excess of the cost of the acquisition over the company's interest in the net amount of the identifiable assets, liabilities and contingent liabilities of the acquired business.

Goodwill is measured at cost less accumulated amortisation and accumulated impairment losses. It is usually amortised on a straight line basis over its useful life. Where a reliable estimate of the useful life of goodwill or intangible assets cannot be made, the life is presumed to be written off as appropriate.

Amortisation

Amortisation is calculated so as to write off the cost of an asset, less its estimated residual value, over the useful life of that asset as follows:

If there is an indication that there has been a significant change in amortisation rate, useful life or residual value of an intangible asset, the amortisation is revised retropectively to reflect the new estimates.

Tangible assets

Tangible assets are initially recorded at cost and are subsequently stated at cost less any accumulated depreciation and impairment losses.

Any tangible assets carried at revalued amounts are recorded at the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

An increase in the carrying amount of an asset as a result of a revaluation, is recognised in other comprehensive income and accumulated in capital and reserves, except to the extent it reverses a revaluation decrease of the same asset previously recognised in profit or loss. A decrease in the carrying amount of an asset as a result of revaluation is recognised in other comprehensive income to the extent of any previously recognised revaluation increase accumulated in capital and reserves in respect of that asset. Where a revaluation decrease exceeds the accumulated revaluation gains accumulated in capital and reserves in respect of that asset, the excess shall be recognised in profit or loss.

Depreciation

Depreciation is calculated so as to write off the cost or valuation of an asset, less its residual value, over the useful economic life of that asset as follows:

Long leasehold property	-	Straight line over life of lease or as appropriate
Plant and machinery	-	10% straight line
Fittings fixtures and equipment	-	10% straight line
Motor vehicles	-	15% straight line
Computer equipment	-	10% straight line

If there is an indication that there has been a significant change in depreciation rate, useful life or residual value of tangible assets, the depreciation is revised retrospectively to reflect the new estimates.

Fixed asset investments

Fixed asset investments are initially recorded at cost, and subsequently stated at cost less any accumulated impairment losses. Listed investments are measured at fair value with changes in fair value being recognised in profit or loss.

Defined contribution plans

Contributions to defined contribution plans are recognised as an expense in the period in which the related service is provided. Prepaid contributions are recognised as an asset to the extent that the prepayment will lead to a reduction in future payments or a cash refund.

When contributions are not expected to be settled wholly within 12 months of the end of the reporting date in which the employees render the related service, the liability is measured on a discounted present value basis. The unwinding of the discount is recognised in finance costs in profit or loss in the period in which it arises.

4. Profit/loss before taxation

Profit/loss before taxation is stated after charging/(crediting):

	2023	2022
	£	£
Net Depreciation of tangible assets	101,413	74,078

5. Intangible assets

	Goodwill	Total
	£	£
Cost		
At 30 June 2023	246,867	246,867
Amortisation		
At 30 June 2023	12,600	12,600
Carrying amount		
At 30 June 2023	234,267	234,267
At 30 June 2022	177,567	177,567

6. Tangible assets

	Long Leasehold Property	Plant and equipment	Fixtures fittings	Computer Equipment	Total
	£	£	£	£	£
Cost					
At 1 July 2022	338,088	1,243,559	199,986	113,809	1,885,442
Additions (transfer)	79,453	45,370	79,119	(6,110)	197,832
At 30 June 2023	407,541	1,288,929	279,105	107,699	2,083,274
Depreciation					
At 1 July 2022	133,123	231,303	67,814	58,111	490,351
Charge for the year	38,071	35,973	22,267	5,102	101,413
At 30 June 2023	171,194	267,276	90,081	63,213	591,764
Carrying amount					
At 30 June 2023	236,347	1,021,653	189,024	44,486	1,491,510
At 30 June 2022	194,965	1,018,867	133,146	48,113	1,395,091

7. Investments

	Shares in group undertakings and participating interests	Total
	£	£
Cost		
At 1 July 2022 and 30 June 2023	100	100
Impairment		
At 1 July 2022 and 30 June 2023	-	-
During the year	-	-
Carrying amount		
At 30 June 2023	100	100
At 30 June 2022	100	100

8. Debtors

	2023	2022
	£	£
Trade debtors	2,268,933	2,038,141
Other debtors	738,144	587,992
	3,007,077	2,626,133

9. Creditors: amounts falling due within one year

	2023	2022
	£	£
Bank and other loans and overdrafts	130,128	179,928
Trade creditors	944,105	521,782
Social security and other taxes	409,850	534,215
Other creditors	3,341,361	2,753,795
	4,825,444	3,989,720

10. Creditors: amounts falling due after more than one year

	2023	2022
	£	£
Other creditors	1,710,000	1,700,000